

improving health conditions, safety process management, etc., and a sound safety governance structure.

Research also indicates that companies with robust diversity, equity, and inclusion (DEI) policies and attractive employee benefits tend to outperform their peers financially. This can be attributed to the positive impact of fostering a diverse and inclusive workforce. It also involves actively working to improve DEI within the firm, as well as promoting ethical behaviour and social responsibility in all operations.

Acknowledging this, Procter & Gamble (P&G) is creating an inclusive work environment. "Our inclusive and progressive policies translate our position into significant action. For instance, ShareTheCare, that encourages equal roles in parenthood by offering eight weeks of paternity leave to our people. Further, all our company-offered health and financial benefits are made available to partners of LG-BTQ+ employees," says L.V. Vaidyanathan, MD & CEO of P&G India.

But this social lens shouldn't just be limited to employees. Companies have to think about the betterment of society as well. Take for instance, Crompton Greaves Consumer Electricals Ltd's (CGCEL) flagship Project Udaan, that has a two-fold approach to upskilling its existing plumbing workforce, says Pravin Saraf, Vice President of Manufacturing & Quality at CGCEL. The first aspect is that the training enables them to get access to better livelihood opportunities. The second is that it helps the industry with a more skilled workforce, meeting new-age product lines and growing expectations from customers.

Working towards the upliftment of the weaker sections of society is also considered a positive, say experts. For instance, mining conglomerate Vedanta is focussed on the communities it operates in. "If the societies near our operating



"Transparency with respect to [ESG] disclosures can help attract capital and gain the trust of investors"

UPDEEP SINGH CHATRATH
PRESIDENT & CEO,
SUTLEJ TEXTILES AND INDUSTRIES



"Strong governance practices help companies identify and manage risks more effectively"

VIRAL THAKKER
PARTNER AND
SUSTAINABILITY LEADER,
DELOITTE INDIA



"ESG plays a pivotal role in ensuring the long-term sustainability of businesses as it encompasses all the non-financial aspects, which either directly or indirectly impact the bottom line."

RATHIN KUKREJA
PRACTICE LEADER &
ASSOCIATE DIRECTOR-
CONSULTING, CRISIL
MARKET INTELLIGENCE
AND ANALYTICS

regions are prosperous and empowered, it ascertains a safer working and operational environment, with a vast talent pool to incorporate in our businesses," says Priya Agarwal Hebbar, Chairperson of Hindustan Zinc Ltd and Non-Executive Director of Vedanta Ltd. Its flagship social impact programme is called Nand Ghar, where the endeavour is to transform the Aanganwadi (day-care and crèche) ecosystem in rural India. Currently, the company operates more than 4,000 Nand Ghars, and it aims to build another 25,000 of them to provide care and learning to more than 70 million children and skilling opportunities to 20 million women all over India. "In addition, we offer upskilling programmes for women in areas such as mining rescue, forklifting and driving to ensure larger participation from our local communities in the business," says Agarwal Hebbar.

The added benefit is that by promoting local suppliers and vendors, companies can directly reduce costs and improve their financial performance. For example, Sutlej has been working on procuring from local suppliers, which has led to lower costs for the company.

GOVERNANCE MATTERS

The next aspect of ESG is 'governance'. Viral Thakker, Partner and Sustainability Leader at Deloitte India, says strong governance practices help companies to identify and manage risks more effectively. This is because they help to ensure that companies have a clear understanding of their risks, a plan to mitigate them, and the resources and capabilities to respond to them. For instance, Godrej Industries has an internal ESG committee that it reports to annually with its performance, says Ramnath Vaidyanathan, Associate Vice President and Head of Environmental Sustainability at Godrej Industries Ltd and Associate Companies. The com-